SPECIAL ASSET POOL

Special Asset Pool (SAP), which constituted approximately 28% of Citi Holdings by assets as of December 31, 2009, is a portfolio of securities, loans and other assets that Citigroup intends to actively reduce over time through asset sales and portfolio run-off. At December 31, 2009, *SAP* had $154 billion of assets. *SAP* assets have declined by $197 billion or 56% from peak levels in 2007 reflecting cumulative write-downs, asset sales and portfolio run-off. Assets have been reduced by $87 billion from year-ago levels. Approximately 60% of *SAP* assets are now accounted for on an accrual basis, which has helped reduce income volatility.

In millions of dollars	**2009**	2008	2007	**% Change 2009 vs. 2008**	% Change 2008 vs. 2007
Net interest revenue	**$ 3,173**	$ 3,332	$ 2,723	**(5)%**	22%
Non-interest revenue	**(6,855)**	(42,906)	(20,619)	**84**	NM
Revenues, net of interest expense	**$(3,682)**	$(39,574)	$(17,896)	**91%**	NM
Total operating expenses	**$ 896**	$ 988	$ 1,070	**(9)%**	(8)%
Net credit losses	**$ 5,420**	$ 909	$ 436	**NM**	NM
Provision for unfunded lending commitments	**111**	(172)	71	**NM**	NM
Credit reserve builds/(release)	**(483)**	2,844	378	**NM**	NM
Provisions for credit losses and for benefits and claims	**$ 5,048**	$ 3,581	$ 885	**41%**	NM
(Loss) from continuing operations before taxes	**$(9,626)**	$(44,143)	$(19,851)	**78%**	NM
Income taxes (benefits)	**(4,323)**	(17,149)	(7,740)	**75**	NM
(Loss) from continuing operations	**$(5,303)**	$(26,994)	$(12,111)	**80%**	NM
Net income (loss) attributable to noncontrolling interests	**(17)**	(205)	149	**92**	NM
Net (loss)	**$(5,286)**	$(26,789)	$(12,260)	**80%**	NM
EOP assets *(in billions of dollars)*	**$ 154**	$ 241	$ 351	**(36)%**	(31)%

NM Not meaningful

2009 vs. 2008

Revenues, net of interest expense increased $35.9 billion in 2009, primarily due to the absence of significant negative revenue marks occurring in the prior year. Total negative marks were $1.9 billion in 2009 as compared to $38.1 billion in 2008, as described in more detail below. Revenue in the current year included a positive $1.3 billion CVA on derivative positions, excluding monoline insurers, and positive marks of $0.8 billion on subprime-related direct exposures. These positive revenues were partially offset by negative revenues of $1.5 billion on Alt-A mortgages, $1.3 billion of write-downs on commercial real estate, and a negative $1.6 billion CVA on the monoline insurers and fair value option liabilities. Revenue was also affected by negative marks on private equity positions and write-downs on highly leveraged finance commitments.

Operating expenses decreased 9% in 2009, mainly driven by lower compensation and lower volumes and transaction expenses, partially offset by costs associated with the U.S. government loss-sharing agreement, which Citi exited in the fourth quarter of 2009.

Provisions for credit losses and for benefits and claims increased $1.5 billion, primarily driven by $4.5 billion in increased net credit losses, partially offset by a lower reserve build of $3.0 billion.

Assets declined 36% versus the prior year, primarily driven by amortization and prepayments, sales, marks and charge-offs. Asset sales during the fourth quarter of 2009 ($10 billion) were executed at or above Citi's marks generating $800 million in pretax gains for the quarter.

2008 vs. 2007

Revenues, net of interest expense decreased $21.7 billion, primarily due to negative net revenue marks. Revenue included $14.3 billion of write-downs on subprime-related direct exposures and a negative $6.8 billion CVA related to the monoline insurers and derivative positions. Revenue was also negatively affected by write-downs on highly leveraged finance commitments, Alt-A mortgage revenue, write-downs on structured investment vehicles and commercial real estate, and mark-to-market on auction rate securities. Total negative marks were $38.1 billion in 2008 as compared to $20.2 billion in 2007, which are described in more detail below.

Operating expenses decreased 8%, mainly driven by lower compensation and transaction expenses.

Provisions for credit losses and for benefits and claims increased $2.7 billion, primarily due to a $2.2 billion increase in the reserve build and an increase in net credit losses of $0.5 billion.

Assets declined 31% versus the prior year, primarily driven by amortization and prepayments, sales, and marks and charge-offs.